

NONPROFIT_CHECKLIST

Set up the nonprofit — the exact steps, in order, with what each costs

Not legal or tax advice. Fees are the current published ones (Utah FY2026 schedule; IRS user fees); verify at filing. A nonprofit has no owners — nobody's name goes on it as an owner, including yours; people sit on its board. That changes the money terms; see the end.

#	Step	Where	Cost · time	Note
1	Name and purpose, one sentence	on paper	\$0 · tonight	<i>"To reduce impaired-driving deaths and injuries in Utah by ensuring a safe ride is reliably available at closing time, and to measure the result with the state."</i> Public safety is a recognised charitable purpose; the sentence is what the IRS reads
2	Three board members	people you name	\$0 · this week	Utah requires a board; three is the working minimum. Andrea can sit on it. A majority should be people who are not paid by the organisation and not related to each other — the IRS looks at this on the 1023
3	Articles of Incorporation — Utah nonprofit corporation	Utah Division of Corporations, online	\$59 · same day online	Must include the 501(c)(3) purpose clause and the dissolution clause (assets go to another charity if it closes) or the IRS bounces the exemption. Use the state's own template
4	EIN	IRS, online	\$0 · minutes	Needed for the bank account and the 1023
5	Bylaws and the first board meeting	your table	\$0 · one evening	Adopt bylaws; elect officers; adopt a conflict-of-interest policy (the 1023 asks); authorise the bank account and the 1023 filing. Minutes in the file
6	Bank account	any bank	\$0-\$25 · one visit	In the nonprofit's name and EIN. Andrea's money never touches a personal account
7	Federal exemption — Form 1023-EZ	IRS, online	\$275 · typically weeks to a few months	Eligible only if projected gross receipts stay $\leq$ \$50k a year for three years and assets $\leq$ \$250k. A nonprofit that intends to own a \$750k building fails the asset test → full Form 1023, \$600, several months. Decide which before filing: the EZ fits a nonprofit that <i>leases</i> bays and holds the measurement contract; the full 1023 fits one that owns the depot
8	Utah charitable solicitation registration	Utah Division of Consumer Protection	modest fee · before asking anyone for money	Required before soliciting donations in Utah. Andrea's \$50k as a <i>loan</i> is not a solicitation; a public campaign is
9	State tax exemption	Utah State Tax Commission	\$0 · after the IRS letter	Sales-tax exemption follows the federal determination
10	The measurement	Utah Highway	\$0 · the email	The nonprofit is the party to it. This is the document that

#	Step	Where	Cost · time	Note
	memorandum	Safety Office	in folder 04	makes a CDFI or a grant officer say yes

Total to exist and apply: about **\$334** (EZ) or **\$659** (full 1023), plus a bank visit and one evening. The determination letter is the long pole — weeks at best, months for the full form.

Andrea's \$50k, in a nonprofit — what changes

The for-profit terms (earlier)	The nonprofit version
Her name on the company	Her seat on the board. Nobody owns a nonprofit
A loan, written, with a date	Still a loan — a promissory note from the nonprofit to her, with a rate and a date, approved in the minutes. Or a donation, deductible, never repaid. She chooses; the loan keeps the brake
Secured on the building or option	Secured on the option or the lease, if the nonprofit holds one; a lender to a nonprofit can hold security
The brake — nothing moves until the seller and the state sign	Unchanged. Write it into the note
One number a quarter	Unchanged — and a nonprofit's Form 990 makes it public every year

The pair, still: the nonprofit holds the mission, the measurement contract and the grants, and leases bays to a for-profit fleet company you own outright. The for-profit can take a 504 later. Form the nonprofit now — it is \$59 and an evening — and let the determination letter run while the seller and the state answer.

Every program and loan that could touch this — government and commercial

Added 09-20 on his instruction: "include any possible government programs and commercial loans." Eligibility is the published rule as of today; every program is re-checked at application. Not advice.

Government money — grants and public loans

Program	Who it pays	Fits which entity	The catch
NHTSA §405d — impaired-driving countermeasure funds (the National Priority Safety Program)	Flows to the state — Utah's Highway Safety Office files an Annual Grant Application (FY2026's is public) and subgrants it	The nonprofit , as a UHSO subgrantee running a countermeasure with a measurement plan	You do not apply to NHTSA; you get on UHSO's subgrant list. The memorandum in folder 04 is the door. Funds programs, rarely buildings
NHTSA §402 — state highway-safety formula funds	The state, same office	Same — subgrant	Same door; broader purposes
USDOT SMART grants — smart-community demonstration projects	Public agencies only (state, county, city, tribe, MPO); nonprofits and companies as <i>partners</i>	Salt Lake County or a city as the applicant, the nonprofit as the named partner	Requires a government sponsor; a county that wants the closing-time data might. Rounds are periodic

Program	Who it pays	Fits which entity	The catch
USDA Rural Development — Community Facilities direct loan and grant	Nonprofits and public bodies, for essential community facilities	The nonprofit — but only in a rural place: population ≤ 20,000	Midvale fails the population test. Wendover, Tooele County's small towns, the rural corridors pass. The rural proof site could be USDA-financed; the Salt Lake depot cannot
USDA Community Facilities guaranteed loan	Same purposes through a commercial lender with a USDA guarantee	Same rural test	Same
SBA 504 (from the depot brief)	For-profit owner-occupants at 51%	The for-profit fleet company only. Nonprofits are ineligible	The pair structure exists for this reason
SBA 7(a)	For-profit small businesses; working capital, equipment, real estate	The for-profit only; nonprofits are expressly ineligible	Cars and chargers could be 7(a)-financed by the fleet company
State of Utah — Governor's Office of Economic Opportunity, rural programs; Utah Office of Outdoor Recreation and others	Varies; mostly for-profit job creation or rural infrastructure	Both, case by case	Check each cycle; none is a fit on its face for a public-safety fleet
Private foundations (highway-safety, public-health, alcohol-industry-funded responsibility foundations)	Nonprofits with a measurement plan	The nonprofit	The state's memorandum makes the application; without the number there is nothing to fund

Commercial and community lenders

Lender type	Lends to	On what	Note
Utah CDFIs — Rocky Mountain Community Reinvestment Corporation, Salt Lake Neighborhood Housing Services, Community Development Fund of Utah, Utah Microenterprise Loan Fund	Nonprofits and small businesses	Community facilities, acquisition and refinance; small business capital	The nonprofit's path to the depot. Terms by quote; LTV and board requirements are the questions in the brief
Community banks and credit unions (Goldenwest and City Center are CDFI-designated)	Both entities	Commercial real estate, equipment	Conventional terms: 20-30% down typical on commercial property; a nonprofit needs the determination letter and two years of financials, which it will not have — so a guarantor or the for-profit borrows
Seller financing / lease-option	Whoever the owner will sign with	The building itself	The cheapest money in the deal if the owner will carry it. First call
Equipment finance for the cars	The for-profit	The vehicles	Manufacturer or bank financing; the cars need not be bought with building

Lender type	Lends to	On what	Note
			money
Program-related investments from a foundation	The nonprofit	Below-market loans for mission work	Rare, real, and exactly shaped for a measured public-safety pilot

The shape that survives all of it

- **Nonprofit:** the mission, the UHSO memorandum and subgrant, foundation grants, a CDFI facility loan, a USDA loan *only for a rural site*. Cannot use SBA.
- **For-profit fleet company:** the cars (7(a) or equipment finance), the depot if owner-occupied at 51% (504), the lease from the nonprofit.
- **Andrea's \$50k:** a loan to whichever entity holds the option, with the brake — or the nonprofit's first restricted gift, if that is what she wants it to be.
- **Order:** nonprofit filed tonight (\$59) → seller call → UHSO email → CDC and CDFI calls → the 1023 → then the applications above, in the order their doors open.